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# India Financial Services Funnel

Report of 11 Oct 2026 Price at research 52 companies **FAVOR ICICI · HDFC BANK · HDFC AMC**

## Three finalists: ICICI Bank as the core, HDFC Bank as the re-rating, HDFC AMC as the growth pick.

### WHY

- 10 of 52 names passed five tests adapted for financial companies: price, return on equity, earnings quality, funding strength and moat.
- Foreign individuals cannot buy on Indian exchanges, so the reachable version is the IBN and HDB ADRs plus a low-cost India ETF.
- Exchanges, brokers and payment apps were dropped on price: 47 to 129 times earnings on revenue a regulator can rewrite.

### SIGNALS TO WATCH

- ☐ ICICI Bank: margin below 4.1%, loans still growing far faster than deposits
- ☐ HDFC Bank: cheap-deposit share, margin, outcome of the US class action
- ☐ HDFC AMC: fee rules from the regulator, monthly SIP flows
- ☐ Oil price and the rupee

> **NEXT CHECKPOINT**
> Q2 FY27 results for HDFC AMC (15 October) and the two banks (second half of October 2026).

### DATES TO TICK OFF

| | WHEN | WHAT | WHAT TO CHECK |
|---|---|---|---|
| ☐ | 31 Oct 2026 | **Checkpoint** | Q2 FY27 results for HDFC AMC (15 October) and the two banks (second half of October 2026). |
| ☐ | 10 Jan 2027 | **Refresh the verdict** | It turns 90 days old; rerun the research before relying on it. |

### THE FULL REPORT · INDIA FINANCIAL SERVICES FUNNEL · 11 OCT 2026

**Date:** 2026-10-11 · **Method:** four-layer value funnel (scan → 5 hard tests → structured analysis → Buffett / Munger / Duan Yongping / Li Lu deep dive) **Builds on:** India Financial Services industry research. Prices are NSE closes of 9 Oct 2026; market caps in ₹ lakh crore (×~10.5 for US$ billions at ~₹95.5 per dollar). **Investor frame:** European individual, no existing holdings in the sector. Foreign individuals cannot buy on NSE/BSE directly, so every name is tagged **Reachable** (NYSE ADR, London GDR, or via UCITS ETF only) and the final answer is given twice: best businesses, and best reachable vehicles.

> **AI research limitations:** Large caps and ADR-listed banks have far more English-language coverage than small NBFCs, so this funnel is biased toward them. Rankings use the hard tests and moat evidence below, and the result is checked against that bias in section 5.4. Company numbers are from Screener.in and Q1 FY27 (April–June 2026) results coverage. Not investment advice.

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Layer 1  Scan                52 names (market-cap top 30 ∪ most traded ∪ new listings ∪ unlisted)
           ↓ 5 hard tests, adapted for financial companies
Layer 2  Rough screen        10 survive
           ↓ structured analysis
Layer 3  Fine analysis       10 → 3 finalists
           ↓ four-masters deep dive
Layer 4  Finalists           ICICI Bank · HDFC Bank · HDFC AMC
```

> **Currency and your money:** this report is written in Indian rupees. HDFC Bank ADR $22.28 ≈ €19.86 ≈ 106 lei · ICICI Bank ADR $27.89 ≈ €24.86 ≈ 133 lei · HDFC AMC share ₹2,262 ≈ €20.84 ≈ 111 lei. National Bank of Romania reference rates of 9 Oct 2026: 1 EUR = 5.3414 lei, ₹100 = 4.92 lei. ADR prices are in US dollars: 1 USD = 4.7612 lei. Romanian inflation was 6.2% a year in August 2026 (INS). The National Bank of Romania forecasts 6.1% for end-2026 and 3.4% for end-2027. Figures in lei and euros are conversions at that day's rate and move with it.

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# 1. Layer 1 – Market scan (52 names)

**Entry classes:** C = top 30 by market cap; A = among the most actively traded/covered; B = recent momentum or new listing. A clean 30/90-day gainers table for the sector could not be sourced, so class B is filled from 52-week position and 2025–26 listings. That is a gap, noted in section 5.5.

## 1.1 Fully priced pool (32 names)

| COMPANY | TICKER | REACHABLE | MKT CAP | BUSINESS IN ONE LINE | CLASS |
|---|---|---|---|---|---|
| HDFC Bank | HDFCBANK | **ADR: HDB** | 10.90 | Largest private bank | A, C |
| ICICI Bank | ICICIBANK | **ADR: IBN** | 9.73 | Second-largest private bank; owns insurers and an AMC | A, C |
| State Bank of India | SBIN | GDR (London) | 8.85 | State-owned; a quarter of the system | A, C |
| Bajaj Finance | BAJFINANCE | ETF only | 5.98 | Consumer and SME lender | A, C |
| LIC | LICI | ETF only | 4.99 | State life insurer | C |
| Kotak Mahindra Bank | KOTAKBANK | ETF only | 4.39 | Conservative private bank | A, C |
| NSE | NSE | ETF only (once indexed) | ~4.28 | Dominant stock and derivatives exchange; listed 24 Sep 2026 | B, C |
| Axis Bank | AXISBANK | GDR (London) | 3.92 | Third private bank | A, C |
| Bajaj Finserv | BAJAJFINSV | ETF only | 2.78 | Holding company (Bajaj Finance + insurers) | C |
| Shriram Finance | SHRIRAMFIN | ETF only | 2.21 | Used-truck and small-business lender | B, C |
| SBI Life | SBILIFE | ETF only | 1.69 | Life insurer sold through SBI branches | C |

| COMPANY | TICKER | REACHABLE | MKT CAP | BUSINESS IN ONE LINE | CLASS |
|---|---|---|---|---|---|
| ICICI Prudential AMC | ICICIAMC | ETF only | 1.50 | Largest asset manager; listed Dec 2025 | B, C |
| Jio Financial | JIOFIN | ETF only | 1.42 | Reliance's start-up financial arm | A, C |
| Cholamandalam | CHOLAFIN | ETF only | 1.36 | Vehicle, home and SME lender | C |
| Tata Capital | TATACAP | ETF only | 1.35 | Diversified NBFC; listed Oct 2025 | B, C |
| BSE | BSE | ETF only | 1.34 | Second exchange; options challenger | A, B, C |
| HDFC Life | HDFCLIFE | ETF only | 1.21 | Life insurer sold through HDFC Bank | C |
| Groww | GROWW | ETF only | 1.21 | Largest retail broker app; listed Nov 2025 | A, B, C |
| Muthoot Finance | MUTHOOTFIN | ETF only | 1.05 | Gold loans | C |
| Paytm | PAYTM | ETF only | 1.05 | Payments app, merchant devices, loan distribution | A, C |
| HDFC AMC | HDFCAMC | ETF only | 0.97 | Second/third-largest asset manager | C |
| MCX | MCX | ETF only | 0.85 | Commodity derivatives exchange | B, C |
| ICICI Lombard | ICICIGI | ETF only | 0.84 | Largest private general insurer | C |
| AU Small Finance Bank | AUBANK | ETF only | 0.74 | Small finance bank converting to universal bank | C |
| Nippon Life India AM | NAM-INDIA | ETF only | 0.67 | Fourth-largest asset manager | B, C |
| SBI Cards | SBICARD | ETF only | 0.53 | Credit cards | C |
| HDB Financial | HDBFS | ETF only | 0.49 | HDFC Bank's NBFC; listed Jul 2025 | B |
| PB Fintech | POLICYBZR | ETF only | 0.47 | Policybazaar insurance marketplace | A |
| Angel One | ANGELONE | ETF only | 0.27 | Discount broker | A |
| CDSL | CDSL | ETF only | 0.26 | Securities depository | A |
| CAMS | CAMS | ETF only | 0.17 | Mutual-fund registrar | A |

### 1.2 Scanned but not individually priced (17 names)

Bank of Baroda, Punjab National Bank, Canara Bank, Union Bank (state banks) · IndusInd, IDFC First, Federal, Yes Bank, RBL (mid-size private banks) · Power Finance Corp, REC (state infrastructure lenders) · Bajaj Housing Finance, LIC Housing Finance, Aditya Birla Capital, L&T Finance (NBFCs) · ICICI Prudential Life, Max Financial (life insurers).

These were not pulled one by one. They are eliminated at entry by category in 2.3; none belongs to a category that produced a survivor except life insurance, where SBI Life is the stronger representative.

### 1.3 Unlisted: future IPO candidates

| COMPANY | WHAT IT IS | STATUS |
|---|---|---|
| PhonePe (Walmart) | 45%+ of UPI payment volume | SEBI approval Jan 2026; IPO on hold since March; approval valid to 20 Jan 2027; valuation talk $9–15B |
| Zerodha | Largest profitable broker | Founder-owned, no IPO plan stated |

| COMPANY | WHAT IT IS | STATUS |
|---|---|---|
| Razorpay, Pine Labs, CRED, Navi | Merchant payments, consumer fintech | Various stages |
| TransUnion CIBIL | Dominant credit bureau | Subsidiary of US-listed TransUnion |

# 2. Layer 2 – Five hard tests → 10 survivors

## 2.1 The tests, adapted

Two of the standard five tests do not work for financial companies: a bank's "debt" is its raw material (deposits), and operating cash flow is not comparable to profit. They are replaced with the equivalents a bank analyst uses.

| # | STANDARD TEST | USED HERE | PASS MARK |
|---|---|---|---|
| 1 | P/E reasonable | P/E against growth and own history; P/B against ROE for lenders | Not above ~25x unless growth above 20% |
| 2 | ROE > 15% or improving | Same; for lenders also ROA | ROE ≥ 15%, **or** ROA ≥ 1.8% with excess capital |
| 3 | Cash flow / profit > 70% | **Earnings quality:** bad loans and credit cost (lenders); cash conversion and payout (fee businesses) | Gross NPA < 2% for banks; no one-off-driven profit |
| 4 | Debt ratio < 60% | **Funding and capital strength:** deposit franchise or capital adequacy (lenders); debt-free (fee businesses) | Capital ≥ 15%, stable funding |
| 5 | Moat ≥ ★★★ | Same | ≥ ★★★ |

## 2.2 Results

| COMPANY | P/E (P/B) | ROE | EARNINGS QUALITY | FUNDING / CAPITAL | MOAT | SCORE | KEEP? | REASON IF DROPPED |
|---|---|---|---|---|---|---|---|---|
| **ICICI Bank** | 17.3 (2.57) ✓ | 15.9% ✓ | GNPA 1.38%, credit cost ~0.5% ✓ | CET1 16.19%, CASA ~38–40% ✓ | ★★★★ | 5/5 | **Keep** | |
| **HDFC Bank** | 13.8 (1.81) ✓ | 13.6% ✗ | GNPA 1.17% ✓ | Capital 19.6% ✓; CASA 32%, loans/deposits ~96.5% (weak spot) | ★★★★ | 4/5 | **Keep (yellow)** | ROE below 15%; governance cloud |
| **State Bank of India** | 10.5 (1.42) ✓ | 15.4% ✓ | GNPA 1.47%, 20-year low ✓ | Unmatched deposits ✓ | ★★★ | 5/5 | **Keep** | |
| **Kotak Mahindra Bank** | 21.9 (2.42) ~ | 11.4% (ROA 2.14%) ✓ by ROA | GNPA 1.18% ✓ | Over-capitalised ✓ | ★★★★ | 4/5 | **Keep (yellow)** | Price high for the ROE |
| **Bajaj Finance** | 29.2 (5.25) ~ | 18.2–20.4% ✓ | GNPA 0.96%, credit cost ~1.5% ✓ | Wholesale funded ~ | ★★★★ | 4/5 | **Keep (yellow)** | Price |

| COMPANY | P/E (P/B) | ROE | EARNINGS QUALITY | FUNDING / CAPITAL | MOAT | SCORE | KEEP? | REASON IF DROPPED |
|---|---|---|---|---|---|---|---|---|
| **Cholamandalam** | 23.6 (4.45) ✓ | 19.4–21.2% ✓ | ROA 3.7% ✓ | Wholesale funded ~ | ★★★ | 4/5 | **Keep (yellow)** | |
| **HDFC AMC** | 32.9 ~ | 32.9% ✓ | Cash business, 2.39% yield ✓ | Debt-free ✓ | ★★★★ | 4/5 | **Keep (yellow)** | P/E high in absolute terms |
| **NSE** | ~41–43 ✗ | high (not confirmed) ✓ | Cash business ✓ | Debt-free ✓ | ★★★★★ | 4/5 | **Keep (yellow)** | Two weeks of trading history |
| **CAMS** | 33.8 ~ | 36.3% ✓ | Cash business, 1.86% yield ✓ | Debt-free ✓ | ★★★★ | 4/5 | **Keep (yellow)** | Profit growth has stalled |
| **SBI Life** | 65 (≈2.0x EV) ~ | 13.7% (ROEV ~15%) ~ | VNB margin 26.2% ✓ | Solvency 196% ✓ | ★★★★ | 4/5 | **Keep (yellow)** | Best of a weak segment |
| Axis Bank | 14.1 (1.77) ✓ | 13.1% ✗ | GNPA 1.28% ✓ | NIM falling 3.73% → 3.46% ✗ | ★★★ | 3/5 | Drop | Weakest of the big private banks on every measure that matters |
| Shriram Finance | 19.6 (2.69) ✓ | 16.4% ✓ | Q1 profit +60% includes one-offs ✗ | Wholesale funded ~ | ★★★ | 3/5 | Drop | Cyclical borrowers, earnings flattered |
| Bajaj Finserv | 27.0 ✗ | 13.2% ✗ | ✓ | ✓ | ★★★ | 3/5 | Drop | Holding-company layer over Bajaj Finance; own the subsidiary instead |
| Muthoot Finance | 9.3 ✓ | 30.9% ✓ | Profit doubled on gold price ✗ | ✓ | ★★★ | 3/5 | Drop | A gold-price bet; stock already −37% from high |
| LIC | 8.3 ✓ | 37.8% (accounting artefact) | ~ | ✓ | ★★ | 3/5 | Drop | State-directed, losing share |
| Tata Capital | 24.9 ✗ | 12.4% ✗ | ✓ | ✓ | ★★★ | 3/5 | Drop | ROE too low for the price |
| HDB Financial | 17.7 ✓ | 13.9% ✗ | GNPA 2.58% ✗ | ✓ | ★★ | 2/5 | Drop | |
| AU Small Finance Bank | 25.8 ✗ | 14.2% ✗ | ~ | ~ | ★★ | 2/5 | Drop | |
| SBI Cards | 23.5 ~ | 14.7% ✗ | Card bad loans rising ✗ | ~ | ★★★ | 2/5 | Drop | 5-year price CAGR −13%; unsecured-credit cycle |

| COMPANY | P/E (P/B) | ROE | EARNINGS QUALITY | FUNDING / CAPITAL | MOAT | SCORE | KEEP? | REASON IF DROPPED |
|---|---|---|---|---|---|---|---|---|
| HDFC Life | 61 (≈1.8x EV) ✗ | 11.3% ✗ | Margin 25% ✓ | ✓ | ★★★ | 3/5 | Drop | Slower than SBI Life (APE +9% vs +36%) |
| ICICI Lombard | 34.8 ✗ | 16.6% ✓ | Combined ratio 107.2%, profit −46% ✗ | ✓ | ★★★ | 3/5 | Drop | Losing share, underwriting loss |
| ICICI Prudential AMC | 43.0 ✗ | 85.8% ✓ | ✓ | ✓ | ★★★★ | 4/5 | Drop (close) | Same business as HDFC AMC at a 30% higher multiple and under a year listed; owned indirectly through ICICI Bank |
| Nippon Life India AM | 40.9 ✗ | 34.5% ✓ | ✓ | ✓ | ★★★ | 4/5 | Drop (close) | Dearer than HDFC AMC, weaker distribution |
| BSE | 47.4 ✗ | 46.0% ✓ | Profit tripled on one rule change ✗ | ✓ | ★★★ | 3/5 | Drop | Earnings depend on a regulatory quirk |
| MCX | 54.9 ✗ | 56.3% ✓ | ✓ | ✓ | ★★★★ | 4/5 | Drop | Price: at its 52-week high |
| CDSL | 55.9 ✗ | 24.5% ✓ | Profit fell in FY26 ✗ | ✓ | ★★★★ | 3/5 | Drop | Falling profit at 56x |
| Groww | 49.5 ✗ | 28.8% ✓ | Leans on derivatives trading ~ | ✓ | ★★★ | 3/5 | Drop | |
| Angel One | 25.9 ~ | n.a. | Same ~ | ✓ | ★★ | 2/5 | Drop | |
| PB Fintech | 62.6 ✗ | 9.75% ✗ | Profit +92% ✓ | ✓ | ★★★★ | 3/5 | Drop (watch) | Real network effect; price still demands perfection |
| Paytm | 129 ✗ | 4.6% ✗ | First profit FY26 ~ | ✓ | ★★ | 1/5 | Drop | |
| Jio Financial | 68.6 ✗ | 1.2% ✗ | ~ | Over-capitalised ✓ | ★★ | 1/5 | Drop | An option, not yet a business |

## 2.3 Category eliminations (from 1.2)

| CATEGORY | REASON |
|---|---|
| Other state banks | Same cycle exposure as SBI with weaker deposits and no moat beyond the state guarantee |
| Mid-size private banks | No deposit edge in a deposit war; several now being bought by foreign banks (Yes, RBL) |

| CATEGORY | REASON |
|---|---|
| State infrastructure lenders (PFC, REC) | Policy lending; concentration in power-sector borrowers |
| Second-line NBFCs and housing financiers | Borrow dearer than banks, lend into the same mortgages banks want |
| ICICI Pru Life, Max Financial | Insurance penetration flat at 3.7%; SBI Life has the better distribution |

## 3. Layer 3 — Fine analysis of the 10

### ICICI Bank (ICICIBANK · NYSE: IBN)

**Business in one line:** takes deposits at ~~4–5% and lends at ~9%, to households, small businesses and companies, with fee income on top.~~ **~~Financial quality:~~** ~~Q1 FY27 profit ₹14,805 crore (+15.9%); NIM 4.36% (stable through 125 bps of rate cuts); advances +~~19.6%, deposits +14%; ROA ~2.2%; CET1 16.19%. Five-year profit CAGR 24%. **Moat:** deposit franchise + licence + a digital stack that has taken business-banking share (+28%). Likely intact in five years. **Top risks:** (1) loans growing 5–6 points faster than deposits; (2) the fastest-growing books (rural +35%, business banking +28%) are the least seasoned; (3) reported credit cost of 0.32% was flattered by a one-off recovery, normal is ~0.5%. **Valuation:** P/E 17.3, P/B 2.57 against a 13-year median of ~2.9 and a low of 1.51. **Fair. Finalist? Yes** — the high-certainty slot.

### HDFC Bank (HDFCBANK · NYSE: HDB)

**Business in one line:** the same business as ICICI at 1.9 times the loan book, still absorbing the 2023 merger with its mortgage parent. **Financial quality:** Q1 FY27 profit ₹19,060 crore (+5% reported, +9.8% underlying); NIM 3.26% (post-merger low); advances +15.4%, deposits +14.7%; GNPA 1.17%; capital 19.6%; ROE 13.6%. **Moat:** largest private customer base and branch network. The deposit advantage that defined it has narrowed (CASA 38% → 32% in three years). **Top risks:** (1) unresolved governance questions after the chairman's March resignation, and a US class action; (2) new CEO from 26 October; (3) margin repair is slow by management's own account. **Valuation:** P/E 13.8, P/B 1.81 on Screener's book value (GuruFocus, on a different book-value basis, shows the ADR near a 10-year low against a 10-year median of 3.57). **Cheap against its own history; fair if ROE never recovers. Finalist? Yes** — the medium-certainty, re-rating slot.

### State Bank of India (SBIN · London GDR)

**Business:** the state's bank; 22,000+ branches; owns SBI Life, SBI Cards, SBI Funds. **Quality:** profit ₹21,121 crore (+10%), NII +15%, NIM 3.0%, GNPA 1.47%. ROE 15.4%. **Moat:** deposits nobody can match; no pricing freedom when the government needs something. **Risks:** (1) this is the best the credit cycle gets; (2) policy lending; (3) periodic dilution. **Valuation:** P/E 10.5, P/B 1.42. **Cheap, as it always is at this point in the cycle. Finalist?** No. Peak-cycle earnings at a state lender are the classic value trap. Worth knowing as the only other large reachable name.

### Kotak Mahindra Bank (KOTAKBANK)

**Business:** the most conservative of the private banks, with strong wealth and broking arms. **Quality:** NIM 4.53%, ROA 2.14%, profit +26%, GNPA 1.18%; ROE only ~11–12% because of surplus capital. **Risks:** (1) slow growth by choice; (2) life after the founder; (3) P/E 21.9 for that growth. **Valuation:** P/B 2.42. **Fair to slightly dear. Finalist?** No. Lower return on equity than ICICI at a higher multiple, and not reachable.

### Bajaj Finance (BAJFINANCE)

**Business:** lends at the shop counter and through its app to 100 million+ customers, then cross-sells. **Quality:** AUM ₹5.47 lakh crore (+24%), profit +28%, ROA 4.7%, ROE 20.4%, GNPA 0.96%. **Risks:** (1) most exposed to the non-housing retail borrowing the RBI flags; (2) wholesale funding; (3) 5.25x book. **Valuation:** P/E 29.2. Five-year profit CAGR 34% against a 4% share-price CAGR shows what paying too much does. **Dear. Finalist?** No — on price, and not reachable. The best lender in India on operating numbers.

### Cholamandalam (CHOLAFIN)

**Business:** vehicle, home and small-business loans in semi-urban India; Murugappa family group. **Quality:** AUM +23%, profit +46%, ROA 3.7%, ROE 21.2%. **Risks:** cyclical borrowers; wholesale funding; 4.45x book. **Valuation:** P/E 23.6. **Fair for the growth. Finalist?** No. Good, but the same cycle risk as Bajaj Finance with a narrower moat.

### HDFC AMC (HDFCAMC)

**Business:** charges a percentage fee on mutual-fund assets gathered largely through HDFC Bank's branches and independent distributors. **Quality:** FY26 revenue ₹4,611 crore, profit ₹2,859 crore (a 62% net margin), ROE 32.9%, debt-free, pays most of its profit out (yield 2.39%). Five-year profit CAGR 17%, ten-year 20%. **Moat:** brand, parent distribution, long equity-fund record. Durable, with fee rates drifting down. **Risks:** (1) SEBI fee cuts; (2) shift to passive funds; (3) earnings fall with the market. **Valuation:** P/E 32.9, the lowest of the listed AMCs (ICICI AMC 43.0, Nippon 40.9), and the share price is near its 52-week low (₹2,262 vs ₹2,206–2,967). **Fair. Finalist? Yes** — the growth slot: the cleanest listed expression of the best-validated link in the thesis (savings moving into funds).

### NSE

**Business:** takes a fee on every share and derivative traded on India's main exchange. **Quality:** FY26 profit reportedly down ~15% after the options curbs; listed at ~43x FY26 earnings; trades at ₹1,731 against the ₹1,785 offer price. **Moat:** the strongest in the sector (liquidity attracts liquidity, plus a licence). **Risks:** (1) a regulator that wants less retail options trading; (2) BSE taking options share; (3) two weeks of public history. **Valuation:** ~41–43x. **Dear for falling earnings. Finalist?** No, **watch**. The best business in the pool; wait for a few quarters of public reporting and a lower price.

### CAMS

**Business:** keeps the investor records for roughly two-thirds of mutual-fund assets and bills the AMCs. **Quality:** FY26 revenue ₹1,516 crore (+7%), profit ₹472 crore (+2%); ROE 36.3%; yield 1.86%. **Risks:** (1) its customers are five large AMCs with pricing power over it; (2) profit growth has stalled; (3) technology substitution. **Valuation:** P/E 33.8, near its 52-week low. **Fair. Finalist?** No. HDFC AMC captures the same trend with pricing power on its side of the table.

### SBI Life (SBILIFE)

**Business:** sells life insurance and savings policies through SBI's branches. **Quality:** APE +36% (helped by lumpy group business), VNB +29%, margin 26.2%, embedded value ₹85,290 crore. **Risks:** (1) sector penetration flat at 3.7%; (2) repeated regulatory changes to product economics; (3) the bank parent can renegotiate commissions. **Valuation:** ~2.0x embedded value. **Fair. Finalist?** No. The segment is the least validated link in the chain.

### Why these three

Chosen for fit, not by score:

| SLOT | PICK | WHY THIS ONE |
|---|---|---|
| High certainty, lower upside | **ICICI Bank** | Best operating numbers of any large bank, no governance noise, reachable |
| Medium certainty, re-rating upside | **HDFC Bank** | Largest franchise at its lowest valuation in a decade, with identifiable reasons that are either temporary or not |
| Growth | **HDFC AMC** | Toll on the financialisation of savings, at the lowest multiple among asset managers. India-only: reachable through an ETF |

No high-risk "option" slot was filled. The candidates (Paytm, Jio Financial, PB Fintech, Groww) failed the hard tests, and forcing one in would be padding.

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## 4. Layer 4 – Four-masters deep dive

### 4.1 ICICI Bank

**Duan Yongping – the business.** ICICI rents out other people's money. The whole game is to pay less for the money than competitors and to lose less of it than competitors. On both counts it is currently the best large bank in India: NIM of 4.36% that barely moved while the central bank cut rates by 125 basis points, and normalised credit cost of about 0.5%. Its "ben fen" (doing the right thing in the right way) since 2018 has been an explicit rule that profit must be risk-calibrated, after a decade in which the bank chased corporate loan growth and paid for it with a bad-loan crisis and the departure of its previous CEO. The question is whether loan growth near 20% is consistent with that rule. Management's defence is that the growth is granular (small businesses, rural, retail) and funded by a deposit base still growing 14%. The counter-argument is that every bank says this in year three of a boom.

**Buffett – the moat.**

| MOAT | STRENGTH | EVIDENCE |
|---|---|---|
| Brand / pricing power | ★★★★☆ | Holds margin through a rate-cut cycle while peers lose 20 bps |
| Switching cost | ★★★★☆ | Salary and business current accounts; integrated app for payments, loans, investing |
| Network effect | ★★☆☆☆ | Limited to its merchant and supply-chain platforms |
| Scale | ★★★★☆ | ₹16.3 lakh crore loan book; cost advantage in technology spend |
| Licence | ★★★★★ | Universal bank licences are effectively closed |

Ten years out, the licence and scale will still be there. The margin advantage depends on the deposit mix, which has slipped from 41% to ~38–40% low-cost accounts in a year. **Margin of safety:** modest. At 2.57x book and 17x earnings the price assumes the current ROA persists. The comfort is in the business quality and 16.19% core capital, not in the price.

**Munger – how it fails.**

1. **Growth outruns underwriting.** Rural +35% and business banking +28% season badly in a slowdown; with oil near $100 a slowdown is plausible.
2. **Deposit squeeze.** Loans +20% against deposits +14% forces either slower growth or dearer funding; the 4.36% margin falls toward 4%.

3. **Succession.** The CEO who rebuilt the bank has been reappointed only to October 2028. ICICI's last succession (2018) happened in a scandal.

*Worst case, simply:* at its 13-year low multiple of ~1.5x book the shares would be about ₹790, roughly 40% below today, before the rupee. *Why smart people pass:* it is a consensus "quality" holding at a consensus multiple; there is no mispricing to exploit, only a good business to hold. *Integrity:* no current issues identified. The 2018 episode is the reminder that this board has failed before.

**Li Lu – the long view.** Financial deepening in a country at $2,812 per head is a multi-decade shift, and private banks with deposit franchises have been the main beneficiaries in every comparable case (Bank Central Asia in Indonesia, HDFC Bank itself in 2000–2020). The end-state is four to six very large private banks; ICICI is plainly one of them. Not winner-takes-all, but winners-take-most.

**Overall**

```
Rating:            ★★★★☆
Position type:     Core
Valuation zone:    Fair today (P/B 2.57). Clearly attractive below ~2.2x book,
                   about ₹1,160 / ~$24 per ADR, which is near the 52-week low area ($25.08)
Share of theme:    35–45%
Watch:             NIM below 4.1%; CASA below 36%; gross NPA rising two quarters running;
                   credit growth still >18% a year from now with deposits <14%
```

### 4.2 HDFC Bank

**Duan Yongping – the business.** For 25 years HDFC Bank was the simplest great business in India: gather the cheapest deposits in the country through relentless branch execution, lend them carefully, repeat. The 2023 merger changed the shape. It doubled the mortgage book and brought ₹6 lakh crore of market borrowings in place of cheap deposits. The bank has spent three years refilling the deposit side: deposits +14.7%, but mostly through term deposits (+17.4%), so the cheap-money share fell from 38% to 32% and the margin to a post-merger low of 3.26%. Is it still a good business? At a 13.6% ROE it is an ordinary one. Whether it becomes a good one again depends on a single variable, cost of funds, which management calls "the single biggest opportunity on margins" and also says will not improve quickly. On "ben fen": the allegation that the bank disguised payments to a state corporation to win deposits, if true, would be exactly the kind of shortcut a bank takes when it is desperate for deposits. It is unproven. The bank's two outside law firms found the former chairman's allegations unsubstantiated, and the RBI said it had no material concerns on record.

**Buffett – the moat.**

| MOAT | STRENGTH | EVIDENCE |
|---|---|---|
| Brand / trust | ★★★★☆ | Still the default private bank; dented in 2026 |
| Switching cost | ★★★★☆ | Largest retail, SME and card customer base |
| Network effect | ★★☆☆☆ | Merchant acquiring leader |
| Scale | ★★★★★ | ₹30.6 lakh crore advances; ₹10.9 lakh crore market cap |
| Deposit franchise | ★★★☆☆ | Was ★★★★★; CASA 32% and still falling |

In ten years the scale and licence remain. Whether the deposit advantage returns is the investment question. **Margin of safety:** real, for the first time in many years. 1.81x book and 13.8x earnings for a bank with 1.17% bad loans and 19.6% capital. If ROE stays at 13–14%, that is roughly fair value and little is lost. If ROE recovers toward 16–17% the multiple has room to rise on a growing book value. The asymmetry comes from the price, not from certainty about the outcome.

**Munger – how it fails.**

1. **The allegations are substantiated at senior level.** Fines are small next to the capital base; the damage would be to trust, regulatory freedom and management time, at a bank that already needs all three.
2. **The deposit franchise never comes back.** UPI and salary-account competition have made cheap deposits structurally scarcer for everyone; ROE settles at 13–14% and the "premium bank" becomes a utility.
3. **A new CEO cleans house.** New leaders often take large provisions in their first quarters. The handover is on 26 October.

*Worst case, simply:* a permanently ordinary bank at ~1.5x book would be about ₹585, roughly 17% below today. *Why smart people are selling:* foreign institutions cut their holding by 2.43 points to 39.39% in a single quarter. They see a governance question with no end date, a leadership change, the worst margins among large private peers, and a falling rupee on top. Those are facts, not sentiment. *Integrity:* open question. This is the main reason the position cannot be sized like ICICI's.

**Li Lu – the long view.** Same civilisational trend as ICICI, same end-state. The specific question here is whether a franchise can lose its edge and regain it. Banks that kept their branch network, capital and customer base through a bad patch usually have (ICICI itself after 2018 is the closest example in the same market). Banks whose problem was culture often have not.

**Overall**

```
Rating:            ★★★★☆
Position type:     Core, built in stages
Valuation zone:    Already in the zone (P/B 1.81; ADR $22.28 vs 52-week low $21.71).
                   Staging matters more than price: after the 26 Oct handover and the
                   Q2 FY27 results (due in the second half of October, date not confirmed)
Share of theme:    25–35%
Watch:             CASA stops falling; NIM back above ~3.5%; first-quarter provisions
                   under the new CEO; outcome of the US class action (lead-plaintiff
                   deadline 13 Oct); any RBI action. Exit trigger: allegations
                   substantiated at senior level
```

### 4.3 HDFC AMC

**Duan Yongping – the business.** People hand over savings every month by standing instruction, and the company keeps a fraction of a percent of the pile every year. No inventory, no credit risk, almost no capital: ₹2,859 crore of profit on ₹4,611 crore of revenue. Industry SIP contributions grew ~24–26% last year and mutual-fund assets are still only ~21% of GDP against a global average of 74%. It is hard to design a better business. Its "ben fen" is investment performance and not over-charging; the regulator enforces the second.

**Buffett – the moat.**

| MOAT | STRENGTH | EVIDENCE |
|---|---|---|
| Brand / trust | ★★★★☆ | Among the oldest equity-fund records in India |
| Switching cost | ★★★☆☆ | Tax on switching and inertia of standing instructions |
| Network effect | ★☆☆☆☆ | None |
| Scale | ★★★★☆ | Fixed research cost over a large asset base: 62% net margin |
| Distribution / licence | ★★★★☆ | HDFC Bank branches plus the independent adviser network |

Ten years out the business will be several times larger in assets and somewhat lower in fee rate. **Margin of safety:** thin on the multiple (32.9x), better on the facts that the shares sit near their 52-week low, the multiple is the lowest in the peer group, and a 2.39% dividend is paid while waiting.

**Munger – how it fails.**

1. **Fee compression.** SEBI has cut allowed expense ratios before and passive funds are growing; revenue per rupee managed keeps falling.
2. **A long bear market.** Assets fall, SIPs get cancelled, and a 33x multiple contracts at the same time. The Nifty is already down ~15% this year and foreign selling has been met so far by domestic SIP money; if that money stops, this company feels it first.
3. **Parent problems.** The HDFC Bank brand is the distribution channel.

*Worst case, simply:* 20x on flat earnings is about ₹1,340, roughly 40% below today. *Why smart people pass:* the growth is fully visible, so it is rarely cheap; and for a European investor it cannot be bought directly.

**Li Lu – the long view.** The movement of household savings from gold, property and bank deposits into securities is one of the most reliable patterns in economic development (the US from the 1950s, Japan, Korea, Taiwan, now China). Asset managers with distribution are the natural toll collectors. Scale economics favour the top five; not winner-takes-all.

**Overall**

```
Rating:            ★★★★☆ (business), not directly reachable from Europe
Position type:     Satellite, held through an India ETF; direct only if access opens
Valuation zone:    Fair at 32.9x. More comfortable below ~28x (about ₹1,925)
Share of theme:    stands behind the 25–35% ETF allocation
Watch:             SEBI expense-ratio rules; monthly SIP flows turning negative;
                   equity market share; Q2 results on 15 Oct 2026
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# 5. Combined output

## 5.1 The three finalists

| COMPANY | TYPE | RATING | SHARE OF THEME | CORE LOGIC | KEY RISK |
|---|---|---|---|---|---|
| ICICI Bank (IBN) | Core, high certainty | ★★★★☆ | 35–45% | Best large-bank economics in India at a fair price | Growing too fast; fully priced |
| HDFC Bank (HDB) | Core, re-rating | ★★★★☆ | 25–35%, staged | Largest franchise at a decade-low valuation | Governance, new CEO, slow margin repair |
| HDFC AMC (via ETF) | Satellite, growth | ★★★★☆ | part of the ETF sleeve | Toll on savings moving into funds | Fee cuts; market level; no direct access |

**The reachable version of the same idea:** IBN + HDB + a low-cost India UCITS ETF for everything else (25–35%). Shares are of the *theme*, and the industry report's framework ceiling for the theme is roughly 5–10% of a total portfolio, built over 6–12 months. This is a research framework output, not personal advice.

### 5.2 ETF alternatives

| ETF | INDEX | FEE | NOTES |
|---|---|---|---|
| Franklin FTSE India UCITS ETF (FLXI) | FTSE India 30/18 Capped | 0.19% | Cheapest; ~278 holdings; financials ~29% (aggregator figure, undated) |
| iShares MSCI India UCITS ETF (NDIA) | MSCI India | 0.65% | Largest (~$5.2B); 165 holdings; index P/E 22.3, P/B 3.2 (June 2026) |
| Amundi MSCI India / UBS MSCI India UCITS ETFs | MSCI India | check factsheet | Alternatives on Xetra/Euronext |

There is no Europe-listed ETF that holds only Indian financials. A broad India ETF is roughly 70% non-financial. Note that the ETF's P/E of ~22 is higher than either bank's: buying the index means paying more per rupee of earnings than buying the two ADRs.

### 5.3 Where the sector stands

- **Valuation:** two markets in one. Large banks trade at 10–17x earnings; the Nifty Bank P/E was 13.95 in July against a five-year median of 16.13. Exchanges, brokers, fintech and asset managers trade at 33–130x.
- **Flows:** foreigners are record net sellers (~₹2.19 lakh crore out by mid-May; foreign holding in HDFC Bank down 2.43 points last quarter); domestic institutions and monthly SIP money are absorbing it. Nifty down ~14–17% this year; rupee near record lows; Brent near $100.
- **Stage:** early-to-middle expansion for the industry (penetration ratios a third to a half of global norms), late-cycle for asset quality (bad loans at a multi-decade low of 1.8%), mid-correction for share prices.

### 5.4 Information quality

| DIMENSION | GRADE | NOTE |
|---|---|---|
| Company financial data | A– | Audited, quarterly; taken from aggregators and results coverage, not from filings directly |
| Valuation timeliness | A | Closes of 9 Oct 2026 |
| Historical valuation ranges | B | Sources disagree on P/B history (book-value basis differs between ADR and local data) |
| Industry structure | A | Stable oligopolies, long history |
| Management | B | ICICI clear; HDFC Bank in transition and under a cloud that public information cannot resolve |
| NSE | C | Two weeks of trading; FY26 numbers from secondary commentary |

**Bias check:** the two finalists that are ADRs are also the two best-covered names. That is partly merit and partly the access constraint. On business quality alone, with no access limits, Bajaj Finance, NSE and HDFC AMC would compete with them, and at lower prices would beat them.

### 5.5 To verify or update

- Sector 30/90-day gainers list was not sourced (class B of the scan is approximate).
- ICICI Bank ROE: 15.9% (Screener) against 17% and 11.9% in different results summaries; the bank's own presentation should settle it.
- HDFC Bank historical P/B: 1.81 (Screener) against ~1.4 (GuruFocus ADR basis); the direction (decade low) is consistent, the level is not.
- NSE's FY26 profit decline (~15%) and current P/E come from secondary sources.

- ETF sector weights and fees should be read off the current issuer factsheets.
- The ~₹67 per dollar starting point for the ten-year rupee comparison is from memory.
- **Dates to watch:** 13 Oct (class-action lead-plaintiff deadline) · 15 Oct (HDFC AMC Q2 results) · second half of October (HDFC Bank and ICICI Bank Q2 FY27 results; exact dates not confirmed) · 26 Oct (HDFC Bank CEO handover) · 20 Jan 2027 (PhonePe IPO approval lapses).
- **Worst-case and valuation-zone figures in section 4 are simple multiples applied to current book value or earnings. They are illustrations, not forecasts.**

### 5.6 Sources

- **Prices, multiples, financial history:** Screener.in company pages (accessed 10–11 Oct 2026); StockAnalysis.com (HDB, IBN); GuruFocus, MarketScreener, Macrotrends (historical P/B)
- **Q1 FY27 results:** INDmoney, Bajaj Broking, Kotak Neo, Angel One, Finology, Sahi, Arihant Capital, MarketBeat (ICICI call transcript), Business Today, ICICI Direct, Sharekhan, DSIJ, Prabhudas Lilladher
- **Sector and macro:** RBI Financial Stability Report June 2026 (via Free Press Journal, Policy Circle); BCG Banking Sector Roundup FY26; India Ratings; Motilal Oswal; SEBI Annual Report 2025-26 and AMFI (via Business Today, Cafemutual); Business Standard (insurance penetration); Goodreturns, HDFC Sky, Outlook Business (market, oil, flows, rupee)
- **Events:** Moneylife, The News Minute (HDFC Bank); INDmoney, Chittorgarh (NSE listing); Business Today, DealStreetAsia (PhonePe)
- **ETFs:** iShares product page and factsheet; getquin, extraETF (Franklin FTSE India)

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https://turnivor.github.io/investment-reports/#india-fin-funnel